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Secure Distribution Venture Pvt. Ltd.

WHAT IS A SALES INVOICE DISCOUNTING?

The Definitive Indian Fintech Reference Manual for MSMEs, Corporate Buyers, and Financiers

Developed by www.loanbazaaronline.com

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CHAPTER 1: INTRODUCTION TO TRADE FINANCE & BILL MARKET HISTORY

For small, medium, and micro enterprises (MSMEs) in India, securing consistent and reliable working capital is a continuous challenge. While completing a sale and delivering goods is a monumental milestone, the commercial reality of B2B transactions introduces immediate financial stress. In standard B2B supply chains, payments from large corporate buyers, government departments, and public sector undertakings (PSUs) are rarely settled immediately. Instead, they are delayed by structured commercial terms spanning 30, 60, or even 90 days. During this waiting period, the supplier's working capital remains tightly locked in outstanding trade receivables. Meanwhile, the supplier must continue to fund immediate operational cash outflows, including payroll, raw material procurement, utility bills, logistics costs, and vendor settlements.

This systemic cash-flow mismatch gave rise to the trade finance sector, which focuses on converting illiquid accounts receivable into liquid funds. In the historical evolution of the Indian financial system, various institutional mechanisms were established to address this problem. As documented in classical textbooks on the Indian financial system, the Reserve Bank of India (RBI) pioneered efforts to establish a robust Bill Market in India. The initial attempt began with the introduction of the ***Bill Market Scheme in January 1952****, which allowed banks to borrow from the RBI against the security of usance promissory notes. To encourage adoption, the RBI initially offered refinancing at a concessional interest rate (half a per cent below the bank rate) and agreed to bear half the cost of the stamp duty required to convert demand bills into time bills. However, these concessions were gradually phased out and completely withdrawn by November 1956. In October 1956, the scheme was extended to cover export bills to help banks extend liberal credit to Indian exporters.*

A major structural revision occurred with the introduction of the ***Bill Market Scheme of 1970****, which provided rediscounting facilities to scheduled commercial banks, cooperative banks, and select development financial institutions like the Industrial Development Bank of India (IDBI) and the Small Industries Development Bank of India (SIDBI). This scheme was designed to support genuine trade bills arising from actual trade transactions, requiring the bills to be accepted by the purchaser's bank or jointly by the buyer and their bank. Despite these efforts, bill discounting failed to achieve dominant scale in India's banking history. Historically, Indian businesses and commercial banks preferred cash credit (CC) and overdraft (OD) facilities due to their operational flexibility. Furthermore, the high cost of stamp duty, the lack of standardized bill documentation, and a shortage of genuine trade bills prevented the development of a liquid secondary market.*

To resolve these deep-seated bottlenecks, the RBI appointed several expert committees in the 1970s and 1980s, including the ***Tandon Committee, Chore Committee (1979), Chakravarti Committee, and Vaghul Committee****. In 1988, following the recommendations of the Vaghul Committee, the RBI set up the* ***Discount and Finance House of India Limited (DFHI)*** *to activate the money market and provide active rediscounting facilities, which reduced the refinancing pressure on the central bank. Additionally, in September 1988, the RBI introduced an innovative instrument called the derivative usance promissory note, which was exempt from stamp duty and designed to simplify secondary-market transactions. In*

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*parallel, a committee headed by **Shri C.S. Kalyan Sundaram in 1988** laid the groundwork for specialized factoring services in India. This led to the establishment of SBI Factors Limited in 1991 with an authorized capital of ₹25 crores, which marked the beginning of organized receivables management in India.*

*In the modern digital era, traditional, physical paper-based bill discounting has evolved into **Sales Invoice Discounting (SID)**. Rather than dealing with physical bills of exchange and heavy stamp duty, modern SID leverages digital invoicing, automated credit databases, and real-time bank integrations. This transition has unlocked unprecedented liquidity for MSMEs, transforming how working capital is managed across Indian industries.*

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CHAPTER 2: SALES INVOICE DISCOUNTING VS. INVOICE FACTORING

A common source of confusion for finance rookies is the distinction between Invoice Factoring and Sales Invoice Discounting (SID). While both financial products fall under the umbrella of receivables financing and aim to unlock cash from unpaid invoices, they operate under fundamentally different operational, legal, and risk structures.

Invoice Factoring is a relationship-based trade finance arrangement where a business sells its accounts receivable ledger to a specialized financial institution (the factor) at a discount. The factor pays an immediate advance (typically 80% to 90% of the invoice value) and takes full control of the seller's sales ledger. Crucially, the factor assumes the responsibility for collecting the outstanding payments directly from the buyers. Factoring can be structured as ***Recourse Factoring*** *(where the seller remains liable if the buyer defaults on the due date) or* ***Non-Recourse Factoring*** *(where the factor absorbs the entire credit risk of buyer default). Since the factor manages the collections, the buyers are fully aware of the arrangement, and payments are made directly to the factoring company.*

In contrast, Sales Invoice Discounting is a financing facility where a bank or Non-Banking Financial Company (NBFC) advances a loan against the security of the seller's accounts receivable. In a traditional invoice discounting structure, the seller retains complete control over their sales ledger and continues to manage the debt collection internally. The buyers are typically unaware of the financing arrangement, which preserves ***absolute confidentiality*** *and protects the seller's direct relationship with their clients. Once the seller collects the payment from the buyer on the due date, the funds are routed to a specialized transaction account to settle the outstanding discounting loan.*

Comprehensive Comparison: Factoring vs. Bill Discounting

The following table outlines the key legal, commercial, and operational differences between Invoice Factoring and Sales Invoice Discounting in India, highlighting why established MSMEs prefer discounting for confidentiality and cost efficiency.

Parameter	*Invoice Factoring*	*Sales Invoice Discounting*
Receivables Ownership	*The ownership of the receivables is legally sold and transferred to the factoring company.*	*Ownership remains with the seller; only the payment rights/proceeds are assigned to the lender.*
Collections & Ledgers	*The factor takes over the sales ledger and manages direct collections, statements, and payment reminders.*	*The seller maintains control of the sales ledger and manages collection and customer relationships internally.*
Confidentiality	*No confidentiality. Buyers are notified to pay the factor directly. May strain client relationships.*	*Highly confidential. Buyers are usually unaware of the financing*

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		and pay the seller as per normal invoice terms.
Credit Risk Exposure	*Can be recourse or non-recourse. In non-recourse factoring, the factor bears the entire default risk.*	*Typically recourse-based in traditional channels, but non-recourse for MSMEs on RBI-regulated TReDS platforms.*
Balance Sheet Impact	*May reduce the accounts receivable asset, directly improving balance sheet liquidity ratios.*	*Receivables generally remain on the balance sheet, offset by a corresponding short-term borrowing liability.*
Cost & Fees	*Generally more expensive due to administrative overhead, ledger management, and collection services.*	*More cost-effective, focusing purely on financing charges, interest rates, and minimal processing fees.*
Target Segment	*Startups, small firms, and exporters lacking dedicated collections or finance departments.*	*Established manufacturing units, government contractors, and suppliers with robust internal finance teams.*

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CHAPTER 3: THE SALES INVOICE DISCOUNTING PRODUCT STRUCTURE

The operational structure of Sales Invoice Discounting rests on a robust Tripartite model. To fully master the product, rookies must understand how these three key participants interact in a real-time transaction loop:

- ***The Seller (Borrower):*** *Typically an MSME or vendor who supplies goods or services, generates a commercial invoice with deferred payment terms, and seeks immediate liquidity by discounting the invoice with a lender.*
- ***The Purchaser (Obligor/Buyer):*** *The corporate client, government department, or PSU who purchases the goods or services, accepts the invoice, and is contractually obligated to pay the invoice amount on the scheduled due date.*
- ***The Financier (Lender):*** *A regulated bank or NBFC that evaluates the credit transaction, advances the discounted invoice value to the seller, and receives the final settlement from the buyer on the due date.*

The Standard Sales Invoice Discounting Transaction Loop

The table below details the step-by-step operational flow of a standard Sales Invoice Discounting transaction, explaining both the participant actions and the behind-the-scenes system activities.

Stage	***Participant Action***	***Behind-the-Scenes System Activity***
1. Supply	*The Seller delivers goods or services to the Purchaser and issues a tax invoice with credit terms (e.g., 90 days usance).*	*The transaction is recorded in the seller's ERP. The seller submits the invoice details to the Lender for discounting.*
2. Verification	*The Purchaser accepts the delivery and approves the invoice, confirming that the underlying transaction is complete.*	*The Lender's underwriting engine verifies the authenticity of the invoice and checks the purchaser's credit limits via integration APIs.*
3. Discounting	*The Lender approves the transaction and calculates the 'Discounted Value' by applying a margin and a discounting rate.*	*The Lender deducts the interest and processing fees upfront and disburses the net advance (typically 80-90%) to the Seller's transaction account.*
4. Operations	*The Seller receives immediate cash flow and utilizes it for ongoing working capital, while the receivables ledger is updated.*	*The Lender records the transaction in a specialized, revolving Transaction Account. CERSAI is*

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		updated to register the assignment of receivables.
5. Maturity	*On the due date, the Purchaser settles the invoice. In a confidential setup, they pay the Seller. On TReDS, they pay the Financier directly.*	*The repayment is processed. If paid to the Seller, the funds are automatically swept to settle the Lender's outstanding loan principal.*

The mechanics of calculating the Discounted Value *are crucial. The Lender does not discount the full invoice value. Instead, they apply a margin to mitigate risks of dilution (e.g., returns, disputes). The discounted principal is calculated as:*

Discounted Principal (Loan Value) = Approved Invoice Value × (1 - Margin %)

This principal amount forms the basis for calculating the interest charge, which is deducted upfront or amortized over the usance period. A specialized revolving Transaction Account is opened in the lender's books to record these entries. When the final invoice payment is received from the buyer, the outstanding balance is swept and settled, and the remaining margin is refunded to the seller.

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CHAPTER 4: ON-BOARDING, ELIGIBILITY STANDARDS, AND CREDIT ASSESSMENT

To secure an active Sales Invoice Discounting facility, both the seller and their buyers must undergo structured credit evaluation and onboarding. Because invoice discounting is an asset-backed lending product, the underwriting approach differs significantly from standard, balance-sheet-focused term loans.

Underwriting Focus on the Buyer (Obligor): *In traditional lending, the credit assessment focuses heavily on the borrower's balance sheet, debt-to-equity ratio, and cash flows. In invoice discounting, the principal risk is the buyer's failure to settle the invoice at maturity. Therefore, underwriters shift their focus to the creditworthiness, financial strength, and payment track record of the buyer. Even if an MSME supplier has a weak credit profile or a limited operating history, they can secure highly competitive financing rates if they supply to AAA-rated corporates, leading Central Public Sector Enterprises (CPSEs), or blue-chip multinationals.*

Key Eligibility Criteria for Sellers:

- ***Business Vintage & Turnover:*** *Lenders typically look for a minimum business vintage of 2 to 3 years with stable, audited annual turnover (ranging from ₹5 crores to ₹50 crores depending on the lender's ticket-size thresholds).*
- ***GST Compliance and Tax History:*** *Sellers must demonstrate an impeccable, consistent history of GST filing (GSTR-1 and GSTR-3B). Clean GST data is used to verify the authenticity of the trade and check for tax compliance.*
- ***Buyer Concentration Limits:*** *To avoid concentration risk, underwriters assess the seller's dependency on a single buyer. A diversified buyer profile reduces the impact of a single buyer's default or payment delay.*
- ***Credit Rating & Bureau Reports:*** *Lenders pull credit bureau reports (such as CIBIL, CRIF, or Experian) for both the seller's entity and its promoters. A clean repayment track record with no defaults is highly preferred.*

Credit assessment also utilizes external Credit Rating Agencies (such as CARE Ratings, CRISIL, or ICRA). As recognized by the RBI as Eligible Credit Rating Agencies (ECRA) for Basel II and Basel III implementation, these agencies evaluate corporate buyers and structured finance transactions, providing lenders with standardized ratings to determine capital adequacy and set appropriate discounting spreads.

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CHAPTER 5: LEGAL, SECURITY & DOCUMENTATION REQUIREMENTS

Because invoice discounting involves transferring a financial asset and assigning future payment rights, the legal and documentation frameworks are highly complex and must be watertight to protect all stakeholders. This chapter outlines the critical documentation and security requirements of the product.

The Legal Foundation: NI Act and Factoring Regulation Act

*The legal validity of invoice discounting is anchored in two main statutes: the **Negotiable Instruments Act, 1881** (governing physical bills of exchange, cheques, and promissory notes, including liability for dishonor under Section 138) and the **Factoring Regulation Act, 2011** (which provides the legal framework for the assignment of trade receivables and defines the rights of factors and assignees).*

Tata Capital Master Terms & Conditions (T&Cs) Analysis

Under standard institutional terms (such as those outlined in the Tata Capital Master Terms & Conditions for Invoice Discounting), the contract structure consists of several critical components:

- ***The Facility Documents:** These include the formal Application Form, the Sanction Letter, the Master T&Cs, the Specific Agreement (executed for each draw), and various undertakings or deeds of guarantee.*
- ***The Transaction Account:** A revolving credit account opened in the lender's books. All discounted payouts are credited here, and all collections from buyers are swept into this account to settle the outstanding debt.*
- ***Conditions Precedent (CPs):** Before any disbursement, the borrower must satisfy all CPs. These include constitutional documents (MoA, AoA, Board Resolutions), authorized signatory lists verified by principal bankers, and a certificate from the Assessing Officer under Section 281(1)(ii) of the Income Tax Act, 1961, confirming that no outstanding tax demands exist on the assigned assets.*

Security Structures & CERSAI Registration

Lenders require robust security to cover potential default risks. Key security mechanisms include:

- ***Hypothecation of Book Debts:** The seller creates a primary charge/hypothecation over their present and future accounts receivable. The borrower contractually agrees NOT to include these discounted invoices in any book debt statements submitted to their working capital bankers, and these receivables cannot be used to calculate the drawing power (DP) for cash credit limits from other banks.*
- ***Debt Service Reserve Account (DSRA):** To secure interest payments, lenders may require maintaining a DSRA containing a 'DSRA Amount'—typically equivalent to the interest falling due over a specified number of months.*
- ***CERSAI Registration (The 10-Day Rule):** Under the Factoring Regulation Amendment of 2021, when trade receivables are financed, the particulars of the assignment must be filed with the Central Registry (CERSAI) within a strict **10-day window** from the date of assignment or satisfaction. For transactions on TReDS, the platform automatically registers the charge with CERSAI on behalf of the*

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factor, enhancing operational efficiency and preventing dual financing (where a borrower tries to finance the same invoice with multiple lenders).

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CHAPTER 6: THE TReDS ECOSYSTEM IN INDIA

*A defining innovation in the Indian trade finance landscape is the **Trade Receivables Discounting System (TReDS)**. Regulated under the Payment and Settlement Systems Act, 2007, TReDS is an electronic, digital platform that brings together MSME sellers, large corporate/government buyers, and multiple financiers (banks and NBFC factors) in a competitive, auction-driven environment.*

***Historical Context & Policy Milestones:** Following the Shri U.K. Sinha Expert Committee recommendations, the Ministry of MSME by notification dated **November 2, 2018**, mandated all Central Public Sector Enterprises (CPSEs) and all companies registered under the Companies Act, 2013 with an annual turnover exceeding **₹500 crores** to get themselves onboarded on a TReDS platform to support their small vendors. In 2016, the RBI announced that factoring transactions taking place through TReDS are eligible for classification under the 'Priority Sector' lending norms, which incentivized banks to participate actively.*

The Bidding and Settlement Mechanics:

- ***Step 1: Upload & Factoring Unit Creation:** The MSME seller uploads the tax invoice onto the TReDS platform. The system generates a standard digital nomenclature called a 'Factoring Unit' representing the invoice.*
- ***Step 2: Purchaser Acceptance:** The corporate buyer logs on and flags the factoring unit as 'accepted.' By doing so, the buyer confirms their unconditional obligation to pay the financier on the due date, with no recourse to disputes regarding the quality of goods and with no right to set-offs.*
- ***Step 3: Multi-Lender Auction:** Once accepted, registered financiers (banks and NBFCs) bid competitively on the factoring unit. The seller can view all bids (all-in-cost quotes) and select the most favorable option.*
- ***Step 4: Payout and Direct Settlement:** The selected financier releases the funds within 24 hours on a T+2 settlement basis. On the due date, the buyer's bank automatically debits the buyer's account and pays the financier. If a buyer defaults, the banker proceeds against the buyer, and the transaction remains strictly **without recourse** to the MSME seller.*

Comparison of RBI-Approved TReDS Platforms in India

Currently, there are only five RBI-approved TReDS platforms operating in India. Let's compare the key active players:

- ***Receivables Exchange of India Limited (RXIL):** Launched in 2017 as a joint venture between SIDBI and NSE. RXIL is India's first operational platform, trusted by over 94,000 MSMEs and backed by 70+ financiers. Its transaction volume has crossed ₹1 lakh crore cumulative as of mid-2024, showing deep integration with public sector banks.*
- ***M1xchange (Mynd Solutions Pvt Ltd):** Backed by HDFC Bank and known for robust ERP integrations, AI-based credit risk scoring, and a strong focus on private sector corporate buyers. Its transaction volume also crossed ₹1 lakh crore cumulative as of May 2024, with average discount rates ranging from 7% to 11% p.a.*

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- ***Invoicemart (Axis Bank & mjunction JV):*** *Particularly strong in metro markets, offering advanced dashboards and competitive discount rates of 7% to 10% p.a.*
- ***C2TReDS & DTX (KredX Platform):*** *Newer, tech-led platforms offering dynamic discounting options and focusing heavily on private sector buyers and agile digital onboarding.*

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CHAPTER 7: COMMERCIAL MECHANICS, UNIT ECONOMICS & TENURES

Understanding the commercial structures, unit economics, and risk dynamics of Sales Invoice Discounting is essential for fintech professionals and credit risk analysts. This chapter explores how interest rates, processing fees, and payment tenures are structured.

Indicative Tenures

*Sales Invoice Discounting is strictly a short-term, transaction-backed working capital facility. The tenure is designed to match the credit period specified in the underlying sales invoice. Typically, tenures range from **15 to 90 days**. In specialized industrial sectors such as heavy machinery, infrastructure, and international exports, tenures can be extended to **120 or 180 days**, subject to strict credit approvals and higher risk spreads.*

Interest Rates & Pricing Metrics

The pricing of an invoice discounting facility consists of two primary elements:

- ***The Discounting/Interest Rate:** Lenders use their floating short-term benchmark rates, such as the Short-Term Lending Rate (STLR), plus a spread. In the competitive TReDS bidding market, interest rates range from **7% to 11% per annum** (reducing balance basis), which is significantly lower than unsecured business loans or high-interest cash credit limits.*
- ***Processing Fees & Charges:** Lenders charge a non-refundable processing fee, typically ranging from 0.1% to 0.5% of the credit limit. Other transactional charges include platform fees, stamp duty, and CERSAI registration fees.*

Lender-Side Unit Economics

For a commercial lender or NBFC, Sales Invoice Discounting is a highly profitable, high-velocity asset class. On an average ₹10,000,000 credit limit with 60-day turnover, the lender can turn over their capital six times a year, compounding their return on assets (ROA). The profitability formula balances: Profitability = [Interest Income + Processing Fees] - [Cost of Funds + Operational Costs + Provisions for Bad Debts]. Because the facility is backed by genuine invoices and corporate obligations, default rates are extremely low—typically maintaining a portfolio credit loss or PAR 91-180 under 1.0%.

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CHAPTER 8: TAXATION, GST, AND ACCOUNTING TREATMENT (Ind AS)

To ensure complete compliance and avoid unexpected tax liabilities, businesses and financial institutions must understand the Goods and Services Tax (GST) rules and Indian Accounting Standards (Ind AS) governing invoice discounting.

GST Rules on Freight and Standard Invoice Discounting

The cornerstone of the Indian indirect tax system is the GST. When analyzing a discounted transaction, we must clearly separate the underlying trade from the financing arrangement:

- ***The Underlying Supply:*** *The original sale of goods or services is the taxable supply of the company. The supplier must charge and report the appropriate GST rate based on the invoice value (e.g., 5%, 12%, or 18% GST). This tax liability is based on the original invoice, and the act of discounting does NOT alter the tax liability or the invoice value.*
- ***The Financing Fee / Service Charge:*** *The financier's interest charge or discounting fee is treated as a financial service. In India, interest on loans is generally exempt from GST. However, any operational service fees, processing charges, or administrative fees levied by the financier are subject to GST at the standard **18% rate**. For example, if a financier charges a ₹20,000 service fee on a ₹10,00,000 transaction, the 18% GST is applied solely to the ₹20,000 fee (amounting to ₹3,600), and NOT to the ₹10,00,000 invoice value.*
- ***Input Tax Credit (ITC):*** *Logistics firms and exporters can claim Input Tax Credit (ITC) on the GST paid for the underlying trade and the separate discounting fees, provided they maintain clean records (Form GSTR-2B, original invoices, and payment evidence).*

Income Tax & TDS (Section 194A and Form 16A)

*Under the Income Tax Act, 1961, if the discount is structured as interest, the buyer must deduct Tax Deducted at Source (TDS) under Section 194A. In accordance with standard Master Terms, the borrower is obligated to deposit the TDS with the government and provide the lender with a TDS Certificate in **Form 16A** downloaded solely from the official **TRACES** website. The borrower must ensure that the TDS is reflected in the lender's **Form 26AS** statement with 'F' status. If the borrower fails to comply, the lender reserves the right to debit the TDS amount to the borrower's account as an outstanding due.*

Supplier Financing Disclosures under Ind AS 7 and Ind AS 107

*The use of supplier financing and reverse factoring arrangements has grown significantly. To enhance transparency regarding liabilities and liquidity risks, the Accounting Standards Board of the ICAI issued an exposure draft aligning Indian Accounting Standards with international frameworks (IAS 7 and IFRS 7 amendments), which took effect for reporting periods starting on or after **April 1, 2024**. Under these guidelines (Ind AS 7 / 107), entities participating in supplier financing arrangements must disclose:*

- ***Terms and Conditions:*** *Qualitative disclosures regarding the terms, including extended payment windows, security, or guarantees provided.*

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- ***Carrying Amounts of Liabilities:*** *The carrying amounts of financial liabilities that are part of the arrangement, clearly identifying where they are presented on the balance sheet (typically trade payables vs. short-term borrowings) and the portion for which suppliers have already received payment from the finance providers.*
- ***Due Date Ranges:*** *A clear disclosure of the range of payment due dates for both supplier finance liabilities and comparable trade payables that are not part of the arrangement, allowing investors to assess liquidity risks.*

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CHAPTER 9: DETAILED REAL-WORLD CASE STUDY (INR CALCULATIONS)

To bridge the gap between theoretical finance and actual corporate operations, this chapter presents a comprehensive, real-world mathematical case study of a Sales Invoice Discounting transaction in Indian Rupees (₹).

The Scenario

***Vibrant Engineering Private Limited** (SME Seller), co-founded by two mechanical engineers, Ramesh and Suresh, is a high-growth manufacturing unit based in Pune. Vibrant Engineering supplies customized precision auto-components to **Apex Automobiles India Limited** (Corporate Buyer), a Tier-1 automotive manufacturer headquartered in Chennai. Vibrant Engineering has delivered a batch of specialized components and raised a tax invoice worth **₹20,00,000** (inclusive of GST). Under the terms of the commercial contract, Apex Automobiles has a credit usance period of **90 days** to settle the payment.*

*Vibrant Engineering needs immediate cash to buy raw steel for their next production run. Rather than waiting 90 days, they upload the approved invoice onto the RXIL TReDS platform for discounting. A partner financier, **Indus Fintech Capital NBFC**, participates in the auction and bids a competitive discounting rate of **8% per annum** reducing-balance interest.*

Underlying Commercial Parameters

- ***Total Invoice Value (inclusive of GST):** ₹20,00,000*
- ***Lender's Margin:** 10% (The financier will advance 90% of the invoice value; the remaining 10% is held as a security margin).*
- ***Financing Principal (Loan Amount):** ₹20,00,000 × 90% = ₹18,00,000*
- ***Discounting/Interest Rate:** 8% per annum*
- ***Financing Tenure:** 90 Days (Credit usance period remaining on the invoice)*
- ***Upfront Processing Fee:** 0.1% of the advanced loan amount (plus 18% GST on the fee)*

Step-by-Step Mathematical Calculations

Step 1: Calculate the Upfront Discounting Interest

The discounting interest is calculated using the simple interest formula based on a 365-day year:
Interest = Financing Principal × Discounting Rate × (Tenure / 365)
Interest = ₹18,00,000 × 8% × (90 / 365)
*Interest = ₹18,00,000 × 0.08 × 0.246575 = **₹35,507***

Step 2: Calculate the Processing Fee and Applicable GST

The processing fee is levied on the advanced loan principal, and the 18% GST is applied solely to the fee:
Processing Fee = ₹18,00,000 × 0.1% = ₹1,800
GST on Processing Fee = ₹1,800 × 18% = ₹324
*Total Fee and Tax Outflow = ₹1,800 + ₹324 = **₹2,124***

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Step 3: Calculate the Net Upfront Payout to the Seller

The net payout disbursed to Vibrant Engineering on day 1 is the advanced principal minus the upfront interest and processing costs:
Net Upfront Payout = Financing Principal - Upfront Interest - Processing Fee - GST
Net Upfront Payout = ₹18,00,000 - ₹35,507 - ₹1,800 - ₹324 = ***₹17,62,369***

Step 4: Final Settlement on Day 90

On day 90, Apex Automobiles pays the full invoice value of ₹20,00,000 directly to the financier's account on RXIL. The financier appropriates the payment as follows:
1. Sweeps ₹18,00,000 to recover the advanced loan principal.
2. Sweeps the interest of ₹35,507 (which was already deducted upfront).
3. Releases the remaining 10% security margin (₹2,00,000) back to Vibrant Engineering's bank account.
Ultimately, Vibrant Engineering receives a total cash flow of ₹17,62,369 (Day 1) + ₹2,00,000 (Day 90) = ₹19,62,369. The total financing cost of the transaction is ₹35,507 (Interest) + ₹1,800 (Processing Fee) + ₹324 (GST) = ₹37,631, enabling Vibrant Engineering to secure immediate, collateral-free working capital.

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CHAPTER 10: PRACTICE EXAMINATION & TEST QUESTIONS FOR ROOKIES

This chapter contains a comprehensive set of practice questions designed to evaluate a finance rookie's understanding of Sales Invoice Discounting, legal structures, TReDS mechanics, tax implications, and accounting disclosures in India. Detailed answers and mathematical rationales are provided for each question.

Question 1 (Multiple Choice):
Under a standard 'Without Recourse' Sales Invoice Discounting transaction processed on an RBI-regulated TReDS platform, who carries the credit risk if the corporate buyer defaults on the due date?

A) The MSME Seller, who must immediately refund the advanced principal to the financier.

B) The TReDS Platform, which guarantees all settlements out of its ₹25 crore paid-up capital.

C) The Financier (participating Bank or NBFC), who has no recourse to the MSME seller.

D) The Government of India, under the MSME Interest Subvention Scheme.

Answer & Rationale: *Correct Option: C. Under the RBI TReDS Guidelines, all transactions processed on the exchange are strictly 'without recourse' to the MSME seller. Once a bid is accepted and financed, the credit risk of buyer default is entirely transferred to the financing Bank or NBFC. The financier has no legal right to recover the funds from the MSME seller if the corporate buyer defaults.*

Question 2 (Multiple Choice):
According to the Factoring Regulation Amendment Act of 2021, what is the mandatory timeframe within which the particulars of an invoice assignment or satisfaction must be filed with the Central Registry (CERSAI)?

A) Within 3 days from the date of the transaction.

B) Within 10 days from the date of the assignment or satisfaction.

C) Within 30 days from the end of the financial quarter.

D) There is no filing requirement, provided the transaction is executed online.

Answer & Rationale: *Correct Option: B. The Factoring Regulation Act requires that the particulars of every assignment of receivables or satisfaction thereof must be registered with CERSAI within a period of 10 days. If registration is delayed, the Central Registrar may grant an extension not exceeding an additional 10 days, subject to payment of late filing fees.*

Question 3 (Multiple Choice):
An MSME supplier discounts a ₹10,00,000 tax invoice with an NBFC. The NBFC advances 90% of the invoice value and charges a ₹15,000 service fee. How is the 18% GST applied in this transaction?

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A) Applied at 18% on the entire ₹10,00,000 invoice value, amounting to ₹1,80,000.

B) Applied at 18% on the ₹9,00,000 advanced loan amount, amounting to ₹1,62,000.

C) Applied at 18% solely on the ₹15,000 service fee, amounting to ₹2,700.

D) No GST is applicable, as all trade finance and banking services are completely exempt from tax.

Answer & Rationale: *Correct Option: C. In Sales Invoice Discounting, GST applies only to the service charges or processing fees levied by the financier (as a taxable financial service at 18%), and NOT on the loan principal or interest. The underlying supply already carries its own GST, and taxing the entire invoice or advanced principal during discounting would lead to double taxation.*

Question 4 (Multiple Choice):
Which regulatory or policy expert committee formed the primary basis for the introduction of formal factoring and receivables management services in the Indian Financial System?

A) The Narasimham Committee on Banking Sector Reforms.

B) The Shri C.S. Kalyan Sundaram Committee in 1988.

C) The Chore Working Group on Cash Credit Systems.

D) The Tandon Committee on Working Capital Norms.

Answer & Rationale: *Correct Option: B. At the instance of the RBI, a committee headed by Shri C.S. Kalyan Sundaram examined the feasibility and structure of factoring services in 1988. This committee's recommendations served as the blueprint for launching specialized factoring institutions in India, leading to the formation of SBI Factors Limited in 1991.*

Question 5 (Multiple Choice):
Under the latest amendments to Ind AS 7 (Statement of Cash Flows) and Ind AS 107 (Financial Instruments: Disclosures), which of the following is a mandatory disclosure requirement for entities engaging in Supplier Financing Arrangements?

A) The exact profit margins earned by their suppliers on the invoiced goods.

B) A list of all banks that rejected the entity's credit applications over the past year.

C) The carrying amounts of liabilities that are part of the arrangement, indicating the portion for which suppliers have already received payment from the finance providers.

D) A signed guarantee from the board of directors promising 100% on-time payment of all invoices.

Answer & Rationale: *Correct Option: C. The Ind AS 7 and Ind AS 107 disclosures require entities to aggregate and disclose the carrying amounts and balance sheet line items of liabilities that are part of supplier financing arrangements, specifically highlighting the amount for which suppliers have already received early payment from the financiers, along with comparative payment terms.*

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Question 6 (Descriptive Scenario):
An SME borrower has an existing cash credit (CC) limit of ₹1 crore with Bank A, secured by a charge over present and future book debts. The borrower discounts a specific set of sales invoices worth ₹10,00,000 with NBFC B under an invoice discounting facility. Bank A discovers this and flags it as a breach of covenant. Analyze the legal and contractual conflict under standard Indian master terms.

Answer & Rationale: *This scenario represents a direct contractual breach. Under standard Indian invoice discounting terms (such as the Tata Capital Master T&Cs or TReDS Master Agreements), the borrower contractually undertakes that any receivables submitted for discounting must be free from any prior charge, lien, or encumbrance. The borrower is explicitly prohibited from including these discounted invoices in the book debt statements submitted to their working capital banker (Bank A) for calculating their drawing power. Double-financing or charging the same asset to two different lenders violates the covenants of both agreements, exposes the borrower to default penalties, and can lead to the cancellation of both facilities.*

Question 7 (Analytical Mathematical Question):
An MSME supplier has an accepted invoice of ₹5,00,000 with a remaining credit tenure of 60 days. They discount the invoice on a TReDS platform. The selected financier offers an 8.5% p.a. discount rate, with a 15% margin and a 0.15% processing fee. Calculate (a) the loan principal, (b) the upfront interest, (c) the net upfront payout, and (d) the final settlement details on day 60.

Answer & Rationale: *Let's calculate step-by-step:*
(a) Loan Principal: Margin = 15%. Loan Principal = ₹5,00,000 × (1 - 0.15) = ₹4,25,000.
(b) Upfront Interest: Calculated using a 365-day year. Interest = ₹4,25,000 × 8.5% × (60 / 365) = ₹4,25,000 × 0.085 × 0.164383 = ₹5,938.
(c) Processing Fee: Processing Fee = ₹4,25,000 × 0.15% = ₹637.50. Applicable GST (18%) on Processing Fee = ₹637.50 × 18% = ₹114.75. Total processing cost = ₹637.50 + ₹114.75 = ₹752.25.
(d) Net Upfront Payout: Net Upfront Payout = Loan Principal - Upfront Interest - Processing Costs = ₹4,25,000 - ₹5,938 - ₹752.25 = ₹4,18,309.75.
(e) Final Settlement on Day 60: On day 60, the buyer pays the full ₹5,00,000. The financier recovers the ₹4,25,000 principal (interest was already recovered upfront) and releases the ₹75,000 security margin (15% of ₹5,00,000) back to the MSME seller.

Question 8 (Multiple Choice):
Under the RBI guidelines, what is the minimum paid-up equity capital requirement for an entity seeking to set up and operate an authorized TReDS digital platform in India?

A) ₹5 crore.

B) ₹10 crore.

C) ₹25 crore.

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D) ₹100 crore.

Answer & Rationale: *Correct Option: C. Because a TReDS platform acts strictly as an electronic exchange matching buyers and sellers without assuming any credit risk itself, the RBI mandates a minimum paid-up equity capital of ₹25 crores to ensure sufficient technological infrastructure and operational resilience.*

Question 9 (Multiple Choice):
Which of the following is NOT an eligible financier on an authorized TReDS platform under the guidelines issued by the Reserve Bank of India?

A) Scheduled Commercial Banks.

B) NBFC Factors participating in trade finance.

C) Unregulated Peer-to-Peer (P2P) lending platforms.

D) Foreign Banks operating branches in India.

Answer & Rationale: *Correct Option: C. The eligible financiers on a TReDS platform are strictly restricted to regulated commercial banks (both domestic and foreign) and licensed NBFC factors. Unregulated entities, P2P lending platforms, and retail individuals are not permitted to bid on or finance factoring units on the exchange.*

Question 10 (Multiple Choice):
When an MSME borrower deducts tax at source (TDS) under Section 194A from the interest/discount charges paid to a lender, from which official portal must they download the TDS Certificate (Form 16A) to ensure validity under institutional guidelines?

A) The Income Tax E-filing portal.

B) The NSDL TIN registration website.

C) The official TRACES portal.

D) The GSTN E-invoicing network portal.

Answer & Rationale: *Correct Option: C. Standard institutional terms and conditions (including Tata Capital's Master T&Cs) mandate that the borrower must provide TDS certificates in Form 16A downloaded solely from the TRACES (TDS Reconciliation Analysis and Correction Enabling System) website on a quarterly basis, ensuring that the TDS is properly credited and verifiable in the lender's Form 26AS.*

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